KAFF'S ENERGY STRIPS

Commercial Financial Blueprint & Distribution Model (Includes Prepaid, COD, Amazon & Quick-Commerce Channels)

EXECUTIVE SUMMARY (DEMO MODEL): This document outlines the commercial economics and multi-channel fulfillment model for **KAFF'S Energy Strips**. It models production costs of **■100 for Pack of 5 (MRP ■229)** and **■200 for Pack of 10 (MRP ■399)**. It covers all active sales and delivery channels: **1) Website Prepaid (UPI/Cards)**, **2) Website Cash on Delivery (COD)**, **3) Amazon India (Easy Ship Pan-India)**, and **4) Quick Commerce (Blinkit & Zepto 10-minute dark store delivery)**.

1. PRODUCT SPECIFICATIONS & PRODUCTION BASELINE (COGS)

SKU Description	Retail MRP	Base Production Cost	Primary Packaging & Box	Total Product Cost (COGS)
Pack of 5 Strips	**■229.00**	■85.00	■15.00	**■100.00**
Pack of 10 Strips	**■399.00**	■165.00	■35.00	**■200.00**

2. MASTER UNIT ECONOMICS COMPARISON (PREPAID vs. COD vs. AMAZON vs. QUICK COMMERCE)

Comprehensive comparison showing how payment modes (Prepaid vs. COD) and distribution platforms impact net cash in hand.

Cost / Revenue Component	Website Prepaid (5)	Website COD (5)	Website Prepaid (10)	Website COD (10)	Amazon IN Pack of 10	Blinkit/Zepto Pack of 10
Customer Selling Price (MRP)	**■229.00**	**■229.00**	**■399.00**	**■399.00**	**■399.00**	**■399.00**
Product Cost (Making + Box)	-■100.00	-■100.00	-■200.00	-■200.00	-■200.00	-■200.00
Platform / Gateway Fee	-■5.40 (2.36%)	■0.00	-■9.42 (2.36%)	■0.00	-■35.91 (9%)	-■139.65 (35%)
Fixed Closing / Channel Fee	■0.00	■0.00	■0.00	■0.00	-■26.00	■0.00
Customer Delivery / Shipping Fee	-■55.00	-■55.00	-■55.00	-■55.00	-■75.00	■0.00 (Platform)
COD Courier Handling Fee	■0.00	**-■35.00**	■0.00	**-■35.00**	Included	N/A
Outer Packaging / Flyer & Label	-■8.00	-■8.00	-■8.00	-■8.00	-■5.00	-■5.00 (Bulk crt)
GST on Shipping & Platform Fees	Included	Included	Included	Included	-■24.64 (18%)	Included
SMS / WhatsApp Tracking Alerts	-■0.60	-■0.60	-■0.60	-■0.60	■0.00	■0.00
TOTAL DEDUCTIONS	**-■169.00**	**-■198.60**	**-■273.02**	**-■298.60**	**-■366.55**	**-■344.65**
NET IN-HAND PROFIT	**■60.00**	**■30.40 (~■30)**	**■125.98 (~■126)**	**■100.40 (~■100)**	**■32.45 (~■32)**	**■54.35 (~■54)**
Net Margin (% of MRP)	**26.2%**	**13.3%**	**31.6%**	**25.2%**	**8.1%**	**13.6%**

CASH ON DELIVERY (COD) OPERATIONAL DYNAMICS:

- **Courier COD Surcharge:** Courier companies charge an extra **■35 to ■40** or 1.5–2% for collecting and remitting cash back to your bank account.
- **Profit Impact:** On the Pack of 5, COD cuts profit from **■60 down to ~■30**. On Pack of 10, profit is **■100** on COD vs. **■126** on Prepaid.
- **Return-to-Origin (RTO) Risk:** In India, 20% to 30% of COD parcels get cancelled/refused at the doorstep. If uncollected, you still pay two-way courier shipping (~■80–■100).
- **Smart Solution:** Add a **■40 COD Convenience Fee** at checkout to cover courier costs and encourage prepaid UPI payments!

3. OPERATIONAL WORKFLOW: D2C WEBSITE & CASH ON DELIVERY (COD)

How orders move from website checkout to doorstep cash collection and settlement.

A. Payment & COD Processing Architecture

- **Prepaid Modes (Razorpay):** Instant UPI QR (GPay, PhonePe, Paytm, CRED), NetBanking, and Cards. Sells and settles on a T+2 business days cycle.
- **Cash on Delivery (COD) Mechanism:** Customer confirms order with mobile OTP verification to prevent fake addresses. Courier collects cash or dynamic UPI QR upon delivery.
- **COD Remittance (Bank Transfer):** Logistics partner (Shiprocket / Delhivery) holds collected cash and transfers it in weekly batches directly to your bank account.

B. Packaging & Logistics Fulfillment (Shiprocket Aggregator)

- **Courier Network:** Shiprocket auto-allocates the best courier based on destination (Delhivery, BlueDart, Shadowfax, Xpressbees).
- **Fulfillment Sequence:**
  1. Order appears in Merchant Dashboard with shipping address and payment status (Prepaid vs. COD).
  2. Pack strips into tamper-proof courier flyer (cost: ~■6–■8).
  3. Generate Air Waybill (AWB) shipping label and stick onto outer pouch.
  4. Courier executive picks up packages from your home/warehouse daily.
  5. Customer receives automated WhatsApp/SMS notifications with live tracking.

4. CHANNEL 2: AMAZON INDIA (EASY SHIP / FBA)

Amazon is optimal for consumer trust, search volume, and repeat re-orders.

A. Fee Breakdown (Health & Nutrition / Dietary Supplements)

- **Referral Fee:** 9% of selling price for dietary and energy strip products.
- **Closing Fee:** Tiered fixed fee (■12 for items ≤ ■250; ■26 for items between ■251–■500).
- **Weight Handling (National):** ~■75 per 500g delivery fee via Amazon Easy Ship.
- **18% GST:** Applied on all Amazon commission and courier fees.

B. Delivery Models

- **Amazon Easy Ship:** You store stock at your facility. Amazon ATS delivery vans pick up orders from your door daily.
- **Fulfillment by Amazon (FBA):** Ship master cartons to Amazon warehouse to unlock the **Prime Badge** (1–2 day guaranteed delivery).

5. CHANNEL 3: QUICK COMMERCE (BLINKIT, ZEPTO, INSTAMART)

Quick commerce platforms deliver to consumers within 10 minutes via localized neighborhood dark stores.

A. Commercial Terms

- **Trade Discount:** 30% to 40% retailer margin off MRP (standard industry baseline: 35%).
- **Customer Delivery Cost: ■0 for you** (borne entirely by Blinkit/Zepto). You only pay bulk freight to their Central Mother Hub (~■4–■5/box).
- **Payment Terms:** B2B credit cycle of **30 to 45 days** following Purchase Order (PO) receipt and inspection.

B. Mandatory Compliance & Packaging Requirements

1. **FSSAI License:** Valid food safety license for caffeinated/dietary formulations.
2. **GS1 EAN-13 Barcodes:** Scannable barcode registered with GS1 India printed on every retail box.
3. **NABL Lab Test Report (COA):** Valid Certificate of Analysis verifying nutritional specs, caffeine content, and microbiological safety.
4. **Shelf Life Requirement:** Products must retain at least **70%–80% shelf life** when delivered to the central distribution hub.

6. STEP-BY-STEP ONBOARDING ROADMAP (BLINKIT & ZEPTO)

Industry-standard process to secure category manager approvals and dark store listings:

Step	Action Item	Key Deliverables / Tactics
Step 1	**Compliance Audit**	Active GST certificate, FSSAI brand license, GS1 barcode registration, and NABL lab test report.
Step 2	**1-Page Pitch Deck (Sell Sheet)**	Highlight: Impulse consumption, sleek pocket-sized format, high dark-store storage density, 35% margin to platform.
Step 3	**Category Manager Outreach**	Connect with *'Category Manager - Health & Wellness / Impulse'* on LinkedIn. Send product sample kits directly to corporate headquarters.
Step 4	**Vendor Agreement**	Execute master supplier contract (35% margin, 30–45 day payment cycle, damage/expiry replacement terms).
Step 5	**Trial Purchase Order (PO)**	Platform issues trial PO (200–500 units for Delhi NCR or Mumbai hub). Dispatch master cartons to Mother Hub.
Step 6	**Dark Store Rollout & Go-Live**	Stock automatically distributed to 50+ neighborhood micro-warehouses. Live for 10-minute consumer ordering.

7. STRATEGIC GROWTH & PRICING RECOMMENDATIONS

1. Smart COD Fee Structure:
• Charge a ■**40 Cash on Delivery Fee** at checkout while keeping **UPI payments completely FREE**.
• This protects your profit margin on COD orders (raising Pack of 5 profit from ■30 to ■70, and Pack of 10 from ■100 to ■140).
• More importantly, it motivates 70%+ of customers to pay instantly via UPI, eliminating courier return (RTO) risks.

2. Focus Marketing on the Hero SKU (Pack of 10):
• Because courier delivery (■55) and packaging are fixed costs, the **Pack of 10 generates over 2x to 3x more cash in your bank** than Pack of 5.
• Make the **Pack of 10 the default hero selection** on your website, ads, and product bundles.

8. SETUP & ONBOARDING CHECKLIST

[ ] **Step 1:** Set up **Razorpay** merchant account for instant UPI/Card payments.
[ ] **Step 2:** Register on **Shiprocket** with ■1,000 wallet recharge for integrated Pan-India courier shipping.
[ ] **Step 3:** Configure shipping options on website: **Free Delivery on Prepaid** and ■**40 Courier Fee on COD**.
[ ] **Step 4:** Procure 100 pcs tamper-proof courier flyer bags (6x8 inch) and A4 shipping sticker labels.
[ ] **Step 5:** Register 2 official barcodes on **GS1 India** for retail and dark-store scanning.
[ ] **Step 6:** Prepare NABL Lab Test Report and FSSAI license for Amazon and Quick Commerce onboarding.